OPERATIONAL EXCELLENCE · WHAT THE EVIDENCE SAYS

Productivity rose 17% in one year. Eight years later, about half of the new practices were gone.

One of the most rigorous management experiments ever run shows what makes improvement last, and what quietly kills it.

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THE STUDY

Not a case study. A randomized experiment.

In 2008, economists from Stanford and the World Bank worked with **28 plants in 17 large textile firms** near Mumbai.

Group A got a one-month diagnosis and a list of recommendations.

Group B got the same diagnosis, plus four months of hands-on help to put the changes in place.

The focus: 38 basic practices that are standard in well-run factories, covering quality, inventory, maintenance, people and orders.

THE STARTING POINT

The data was there. The management was not.

93% of the plants recorded quality defects

29% reviewed those defects daily or by type

0 had a standard system to analyze the data and act on it

Recording problems is not the same as managing them.

LESSON 1

A report rarely changes how work is done.

Increase in adoption of the 38 practices (percentage points)

Diagnosis + recommendations only



Diagnosis + 4 months of hands-on implementation



Both groups knew what to fix. The group that had help doing it changed three times as much.

THE PAYOFF

+17%

productivity in the first year

Fewer quality defects, so less fabric was scrapped

Routine maintenance and breakdown tracking, so looms stopped less often

Lower inventory

The researchers estimated the gain at about US$325,000 in profit per plant per year.

EIGHT YEARS LATER (2017)

About half of the adopted practices had been dropped.

Why? The two reasons managers cited most:

1

A new plant manager. In the plants that got hands-on help, this explained more than half of all dropped practices.

2

Owners and directors had less time for the plant.

Still, these plants stayed clearly ahead in practices and performance, and many practices had spread to sister plants in the same firm.

WHAT THIS MEANS FOR LEADERS

Excellence that depends on one person is not yet a system.

1

Fund implementation, not only diagnosis.

2

Build the practice into standards, daily routines and handover plans, so it outlives its champion.

3

Protect senior attention after go-live, not only before it.

> If your best manager left tomorrow, which of your improvements would survive?

SOURCES AND LIMITS

What this evidence can and cannot tell us

One industry, one region, family-owned firms, 28 plants.

The profit figure is the researchers' estimate.

Reasons for dropping practices were reported by managers and owners.

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[1] Bloom, N., Eifert, B., Mahajan, A., McKenzie, D., & Roberts, J. (2013). Does Management Matter? Evidence from India. *Quarterly Journal of Economics*, 128(1), 1–51.

[2] Bloom, N., Mahajan, A., McKenzie, D., & Roberts, J. (2020). Do Management Interventions Last? Evidence from India. *American Economic Journal: Applied Economics*, 12(2), 198–219. (World Bank Policy Research Working Paper 8339, 2018.)



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